	Calendar Year Return	Portfolio Value
Portfolio A		
Year 1	+5%	$10,500
Year 2	+5%	$11,025
	Simple average = 5.0%	Compounded = 5.0%
Portfolio B		
Year 1	+10%	$11,000
Year 2	0%	$11,000
	Simple average = 5.0%	Compounded = 4.9%
Portfolio C		
Year 1	+15%	$11,500
Year 2	−5%	$10,925
	Simple average = 5.0%	Compounded = 4.5%
Portfolio D		
Year 1	+20%	$12,000
Year 2	−10%	$10,800
	Simple average = 5.0%	Compounded = 3.9%

Table 2-3 illustrates how to compute an average miss in a series of numbers. Please note that any observant math wizard will quickly realize that the data in Table 2-3 do not represent the exact standard deviations, but for illustrative purposes, they are close enough.

Back to Table 2-2. It is interesting to note that as the standard deviations of the portfolios increased evenly in 5 percent increments from 0 percent to 15 percent, the compounded return difference between the portfolios increased exponentially from one portfolio to the next. To illustrate, there was a 5 percent difference in standard deviation between Portfolios A and B and a 0.1 percent difference in compounded return, a 5 percent difference in standard deviation between Portfolios B and C and a 0.4 percent difference in compounded return, and a 5 percent difference in standard deviation between Portfolios C and D and a 0.6 percent difference in compounded return.

TABLE 2-3
Calculating Standard Deviation